



Zoetis - Neogen Genomics Business

MN -05013

Notice of Competition Concerns - Summary

27 August 2026

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1. Introduction

- 1.1. On 12 May 2026, Zoetis Holdings LLC (**Zoetis**), a wholly owned subsidiary of Zoetis Inc., lodged a notification with the Australian Competition and Consumer Commission (**ACCC**) in respect of Zoetis' proposed acquisition of the global animal genomic testing business of Neogen Corporation (**Neogen Genomics**) (the **Acquisition**).
- 1.2. On 17 July 2026, the ACCC decided that the Acquisition is to be subject to Phase 2 review.
- 1.3. On 27 August 2026, the ACCC issued a Notice of Competition Concerns (**NOCC**) to Zoetis.
- 1.4. The NOCC must set out the ACCC's preliminary assessment of whether the Acquisition, if put into effect, would have the effect, or be likely to have the effect, of substantially lessening competition in any market, and the grounds on which the ACCC makes its assessment, referring to the evidence or other material on which those grounds are based.
- 1.5. This is a summary of the NOCC as required to be published on the Acquisitions Register.¹

2. Background

The Acquisition

- 2.1. On 1 March 2026, Zoetis entered into a sale and purchase agreement with Neogen Corporation to acquire, either directly or via a wholly-owned subsidiary, Neogen Corporation's global animal genomics business, Neogen Genomics.
- 2.2. Under the agreement, Zoetis proposes to acquire all of the shares in the companies within the Neogen Corporation group that supply genomic testing services globally, as well as certain non-Australian assets of Neogen Genomics.

The acquirer – Zoetis

- 2.3. Zoetis is a US-listed global animal health company that develops, manufactures and commercialises parasiticides, vaccines, dermatology, anti-infectives, animal health diagnostics, and other pharmaceutical products and technologies to customers in over 100 countries.
- 2.4. Zoetis supplies genomic testing services for beef cattle, dairy cattle and sheep in Australia. Zoetis is an approved genomic testing service provider to Angus Australia, the Australian Wagyu Association, and the Australian dairy industry, and supplies most of its Australian genomic testing services through those arrangements.

¹ See s 51ABZZI of the Competition Consumer Act 2010; 5-2(e) of the Competition and Consumer (Notification of Acquisitions) Determination 2025.

- 2.5. Zoetis conducts genomic testing for Australian customers in its laboratory in Michigan, United States.

The target – Neogen Genomics

- 2.6. Neogen Corporation is a US-listed global biotechnology company that offers solutions for the food, beverage, animal and agriculture industries. Neogen Genomics, a division of Neogen Corporation, supplies genomic testing services to customers in over 120 countries.
- 2.7. Neogen Genomics supplies genomic testing services for beef cattle, dairy cattle and sheep in Australia. Neogen Genomics is an approved genomic testing service provider to Angus Australia, the Australian Wagyu Association, the Australian dairy industry, and Sheep Genetics Australia, and supplies most of its Australian genomic testing services through those arrangements.
- 2.8. Neogen Genomics has laboratories located in the United States, Canada, Scotland, Brazil, China and Brisbane, Australia. Neogen Genomics acquired its Brisbane laboratory from the University of Queensland Genetics Laboratory in 2017.

Other relevant market participants

Breed associations

- 2.9. Breed associations (also called breed societies) are member-based organisations that are established to promote and develop a specific breed of livestock. Breed associations are often responsible for maintaining the breed's pedigree registry, defining breed standards, and co-ordinating genetic evaluations.
- 2.10. In Australia, the major beef cattle breed associations engaging with genomic testing providers are:
- Angus Australia – the main breed association that focuses on the pedigree of Angus beef cattle;
 - the Australian Wagyu Association – the main breed association for Wagyu beef cattle.
- 2.11. Among other things, membership of a breed association allows members to register their cattle in specific pedigree and performance databases, participate in research and development programs, attend conferences, forums and member events, and access exclusive genomic technologies.
- 2.12. The membership of beef cattle breed associations includes stud breeders and may also include commercial cattle producers and other industry participants. Stud breeders (sometimes referred to as seedstock producers) mainly produce stud bulls/rams, which are then sold to commercial breeders to breed cattle/sheep. Stud breeders generally sell stud bulls/rams with genomic evaluation testing results supplied. Commercial livestock producers benefit from such services by having that testing information available when they purchase stud animals to use with their herd/flock.

Genomic evaluation providers

- 2.13. At a high level, genomic evaluation providers use genetic evaluation systems to evaluate an animal's genetic, pedigree and performance information in order to predict its genetic merit.
- 2.14. BREEDPLAN is an example of a genetic evaluation system used for beef cattle in Australia. BREEDPLAN is delivered to beef cattle industry clients in Australia by the Agricultural Business Research Institute (**ABRI**).
- 2.15. In recent years, breed associations, such as Angus Australia and the Australian Wagyu Association, have developed internal genetic evaluation systems and now operate as genomic evaluation providers to their members.²
- 2.16. With respect to dairy cattle, DataGene is the industry-owned organisation that supports genetic gain and herd improvement in the Australian dairy industry. It manages the national genetic evaluation system, which produces evaluation results for key dairy traits such as mastitis resistance, milking speed and milk production.

Overlap between the Parties

- 2.17. In Australia, Zoetis and Neogen Genomics (together, the **Parties**) overlap in the supply of genomic testing services for beef cattle, dairy cattle and sheep.

Industry background

- 2.18. Animal genomic testing involves analysing an animal's genetic information (**DNA**) to identify genetic variations associated with traits of economic importance, such as fertility, growth rates, feed efficiency and meat quality. The resulting genetic information is evaluated along with performance and pedigree data to generate Estimated Breeding Values (**EBVs**). EBVs are used by farming businesses to inform their breeding and management decisions, such as which animals to sell, breed or eliminate from the herd.
- 2.19. The process of genomic testing for beef cattle is generally as follows:
- The farming business collects a DNA sample from an animal (e.g. tissue or blood).
 - The farming business chooses a genomic testing provider (e.g. Zoetis or Neogen Genomics) to send the sample to (via the breed association of which the farming business is a member).
 - The genomic testing provider extracts DNA from the tissue sample and conducts analysis on it. The providers typically use Single Nucleotide Polymorphism (**SNP**) chips to conduct the DNA analysis.
 - The results of the genomic testing (**genotype data**) are shared with the relevant breed association for further evaluation. Breed associations provide the genotype

² See, Angus Australia, [Angus Genetiq](#), accessed 13 August 2026; Australian Wagyu Association, [Advanced Genetic Evaluation](#), accessed 13 August 2026; Australian Wagyu Association, [A New Genetic Framework for Wagyu | Australian Wagyu Association](#), accessed 20 August 2026.

data to a genomic evaluation provider, who evaluates the animal's genetic characteristics against a reference population dataset. This dataset, typically owned by the breed association, includes both phenotype/performance and pedigree data and is used to predict the animal's likely performance and generate EBVs. Recently, some breed associations, such as Angus Australia and the Australian Wagyu Association,³ have developed internal genetic evaluation systems and now operate as genomic evaluation providers to their members.

- Following evaluation, whether undertaken internally or by an external genomic evaluation provider, the breed association provides the EBVs to the farming business.
- 2.20. Generally, the beef cattle breed associations, of which the farming business is a member, facilitate the entire genomic testing process. This includes organising the delivery of samples to the genomic testing laboratory, receiving the results from the genomic testing provider, providing those results, along with the performance and pedigree information, to the genomic evaluation provider, and ultimately making the EBVs available to the farming business.
- 2.21. Information gathered by the ACCC to date indicates that some beef cattle breed associations appoint one or more approved genomic testing providers, such as Zoetis and Neogen Genomics, to a supplier panel. Member farming businesses may then choose which of the approved suppliers will test their samples.
- 2.22. For dairy cattle, the process for obtaining genomic evaluations is slightly different. Genomic testing providers submit genotype data to DataGene, which processes it through its national dairy evaluation system and returns the results to the provider. The provider then supplies the genetic evaluation results directly to the farming business.
- 2.23. The process of genomic testing for dairy cattle is generally as follows:
- The farming business collects a DNA sample from an animal (e.g. tissue or blood).
 - The farming business chooses a genomic testing provider (e.g. Zoetis or Neogen Genomics) to send the sample to.
 - The genomic testing provider extracts DNA from the tissue sample and conducts analysis on it (typically using a SNP chip).
 - The results of the analysed sample are submitted by the genomic testing provider to the dairy cattle industry association, DataGene.
 - DataGene processes the genotype data through its national dairy evaluation system and returns the results to the genomic testing provider.
 - The genomic testing provider provides the genetic evaluation results (known as Australian Breeding Values (**ABVs**)), being the equivalent of EBVs for dairy cattle, directly to the farming business.

³ See, Angus Australia, [Angus Genetik](#), accessed 13 August 2026; Australian Wagyu Association, [Advanced Genetic Evaluation](#), accessed 13 August 2026; Australian Wagyu Association, [A New Genetic Framework for Wagyu | Australian Wagyu Association](#), accessed 20 August 2026.

- 2.24. For both beef and dairy cattle, farming businesses are ultimately the customers of genomic testing services on the basis that they are the parties that choose which genomic testing service supplier will test their samples. The ACCC considers beef cattle breed associations such as Angus Australia and the Australian Wagyu Association to be important distribution channels, given their role in facilitating the testing process for their members.

3. Market definition

ACCC's approach to market definition

- 3.1. The ACCC adopts a purposive approach to market definition, using it as a tool to assess whether a transaction may have competitive effects.⁴
- 3.2. The ACCC's starting point for delineating the relevant market(s) is to identify the products and geographic regions actually or potentially supplied by the merger parties. The ACCC then considers other products and geographic regions that are substitutable for, or otherwise competitive with, the products and geographic regions in question. In this respect, the ACCC has regard to demand- and supply-side substitution between the products and geographic regions in question and other products and geographic regions that may comprise the relevant market, where demand-side substitution concerns customers' substitution possibilities and supply-side substitution concerns suppliers' substitution possibilities.⁵
- 3.3. One tool that is used to provide an analytical framework to identify and evaluate substitution possibilities is the "SSNIP test", also referred to as "the hypothetical monopolist test", which involves determining whether a hypothetical monopolist supplier could profitably impose a small but significant non-transitory increase in price (most commonly between 5% and 10%) for the supply of a relevant product in a relevant region.⁶
- 3.4. Establishing the relevant market helps to identify the area in which competition harm may arise and the customers that may be affected by a reduction in competition.
- 3.5. While the ACCC is continuing to consider the relevant market in which to assess the likely impact of the Acquisition on competition, the ACCC's preliminary view is that it is appropriate to focus on the supply of genomic testing services for cattle (dairy and beef) in Australia. Zoetis has a small presence in relation to the supply of genomic testing services for sheep in Australia, and there are multiple alternative suppliers who would be likely to constrain the merged entity. This NOCC does not consider the supply of genomic testing services for sheep in Australia further.

⁴ ACCC, Merger Assessment Guidelines, 20 June 2025, pg. 52.

⁵ ACCC, Merger Assessment Guidelines, 20 June 2025, pg. 51-53.

⁶ See, e.g., *ACCC v Metcash Trading Ltd* (2011) 198 FCR 297 at [247]-[251].

Product Market

Substitution between different herd improvement services

- 3.6. The Parties submit that the relevant product dimension for the Acquisition is methods or services used to improve the available genetic stock of animal populations.⁷ The Parties submit that, in addition to genomic testing services, there are several other methods that farming businesses can use to improve their herd or flock. These include visual assessment of the animal; bloodline/pedigrees; phenotype/performance records; breeding consultant advice; stud breeder advice; artificial insemination supplier advice; and/or evaluation through statistical (quantitative genetics) methods.⁸
- 3.7. The Parties submit that these alternative methods are used more regularly than, and compete directly with, genomic testing services. The Parties further submit that the low penetration rate of genomic testing services in Australia suggests that farming businesses tend to rely predominantly on other herd improvement methods.⁹
- 3.8. Notwithstanding that there may be several methods for farming businesses to assess their animals' genetic stock and improve the herd, the ACCC considers that if genomic testing services were monopolised, it is unlikely that other herd improvement services would prevent the monopolist from increasing prices by 5% to 10%.
- 3.9. Information before the ACCC indicates that compared to other herd improvement services, genomic tests provide for a more comprehensive analysis of a livestock's genetic composition and are more reliable, faster and easier to implement.
- 3.10. Breed associations consider genomic testing services are important and encourage their members to utilise them.
- 3.11. Information before the ACCC also indicates that a farming business' stud (seedstock) cattle may be less saleable without an EBV (which is obtained through genomic tests).
- 3.12. The ACCC considers that, consistent with the information above, the emphasis that breed associations place on genomic tests means that farming businesses are unlikely to be willing to readily switch from genomic testing services to other herd improvement services in respect of those cattle that they presently or in future may seek to subject to genomic testing.
- 3.13. Feedback from market participants also indicates that suppliers of other herd improvement services cannot readily switch to supplying genomic testing services. Specifically, these suppliers would need to research and develop an appropriate SNP chip and expend significant capital in order to have the capability to supply genomic testing services.

⁷ Zoetis, Notification of Acquisition, Attachment 3 - Supporting Submission, 28 April 2026, pp. 13-14 ([05013.001.010.0585](#)); Zoetis, Submission to the ACCC, 26 June 2026, pp. 1, 3-4 ([05013.001.002.0009](#)).

⁸ Zoetis, Notification of Acquisition, Attachment 3 - Supporting Submission, 28 April 2026, pp. 13-14 ([05013.001.010.0585](#)).

⁹ Zoetis, Submission to the ACCC, 26 June 2026, p 1 ([05013.001.002.0009](#)).

- 3.14. The ACCC therefore considers that the extent of both demand- and supply-side substitutability between genomic testing and other herd improvement services is very limited and, accordingly, that the product dimension of the relevant market for assessing the Acquisition is limited to genomic testing and does not extend to other herd improvement services.

Substitution between genetic tests for different livestock

- 3.15. Another consideration in determining the product dimension of the relevant market is the scope of livestock species and breeds that are included.
- 3.16. In this respect, the Parties submit that the relevant product dimension for the Acquisition is all livestock. The Parties submit that the requirements to supply genomic testing services (including technology, equipment, laboratory resources and reference panels) are similar irrespective of the target species or breed of animal. The Parties further submit that there are several firms in Australia that supply genomic testing services for different types of livestock, including Weatherbys, Xytovet, GenomNZ, Semex, Totogen and CRV Ambreed.¹⁰
- 3.17. The ACCC considers that there are inputs which are common to supplying genomic testing services for different livestock. However, the ACCC's preliminary view is that, in addition to the unfeasibility of demand-side substitution between tests designed for different species, there is relatively limited supply-side substitutability between genomic tests used for different animals (e.g. cattle and sheep).
- 3.18. SNP chips are used to analyse an animal's DNA markers and estimate an animal's breeding value and other genetic traits. The ACCC understands that SNP chips tend to be tailored to a particular type of animal or species, so that it can identify the DNA markers relevant to that animal's production use.
- 3.19. Market feedback indicates that when breed associations and/or farming businesses select a genomic testing services supplier, they often have regard to the type of SNP chips and genomic tests that are offered, including the ability of the SNP chip to identify the DNA markets that are most relevant to the particular breed of cattle. Likewise, the evidence available to the ACCC indicates that suppliers may develop SNP chips that specialise in testing a specific type of animal's genome.
- 3.20. Lastly, the ACCC has had regard to the material difference in the average list price of genomic testing services for cattle and sheep.
- 3.21. The ACCC's preliminary view is that the degree of demand- and supply-side substitutability between genomic testing services for different livestock is relatively limited. At this stage, the ACCC considers that it is appropriate to focus on the competitive effects in respect to cattle (i.e. beef and dairy cattle). However, the ACCC is continuing to investigate whether a narrower (i.e. delineated between beef and dairy cattle) or wider (i.e. including sheep and cattle) product dimension is more appropriate to assess the competitive effects of the Acquisition. Specifically, the ACCC will further consider the extent to which a supplier could quickly switch from providing genomic tests for one type of livestock to another, using existing assets and without incurring significant expenditure.

¹⁰ Zoetis, Notification of Acquisition, Attachment 3 - Supporting Submission, 28 April 2026, p 14 ([05013.001.010.0585](#)).

Geographic market

- 3.22. The ACCC's preliminary view is that it is appropriate to investigate the Acquisition's effect on competition in Australia.
- 3.23. The Parties submit that the geographic dimension of the relevant market is global,¹¹ noting that many genomic testing suppliers operate globally and that DNA samples collected in one country are commonly tested in laboratories located overseas.¹²
- 3.24. The ACCC accepts that some suppliers of genomic testing services are active globally and do not operate Australian laboratories. However, the ACCC is considering the extent to which a local presence (with respect to sales staff and a laboratory) is important to effectively compete in the Australian market.
- 3.25. All current suppliers of genomic testing services in Australia have staff based in Australia.
- 3.26. While DNA samples can be tested in overseas laboratories (and therefore it seems that a lack of an Australian laboratory itself would not necessarily preclude an overseas provider from supplying Australian customers), some third parties expressed a preference for suppliers that operate an Australian laboratory. Information before the ACCC indicates that most genomic tests for cattle and sheep in 2025 were processed in laboratories located in Australia. In particular, the leading supplier of genomic testing services for cattle and the leading two suppliers of genomic testing services for sheep test samples in laboratories located in Australia.
- 3.27. Third parties active in overseas jurisdictions also identified barriers to a supplier expanding into the Australian market, including developing a sales network, relationships with the breed associations, an appropriate SNP chip for the relevant Australian livestock and obtaining access to an Australian-specific database.
- 3.28. Therefore, the ACCC's preliminary view is that suppliers active in overseas jurisdictions may provide a more limited constraint than suppliers with an Australian presence. The ACCC will continue to investigate this issue, and the extent to which overseas suppliers could enter the Australian market, in Phase 2.

4. Summary of preliminary competition assessment

- 4.1. The ACCC is considering the effects of the Acquisition by comparing the likely future state of competition if the Acquisition proceeds against the likely future if the Acquisition does not proceed.
- 4.2. In the future with the Acquisition, Zoetis will acquire all of the shares in the companies within the Neogen Corporation group that supply genomic testing services globally, as well as certain non-Australian assets of Neogen Genomics, and will become the largest supplier of genomic testing services for cattle in Australia by a significant margin.
- 4.3. The ACCC's preliminary view is that the future state of competition without the Acquisition is the status quo, or continuation of the current state of competition.

¹¹ Zoetis, Notification of Acquisition, Attachment 3 - Supporting Submission, 28 April 2026, p 15 ([05013.001.010.0585](#)).

¹² Zoetis, Notification of Acquisition, Attachment 3 - Supporting Submission, 28 April 2026, p 15 ([05013.001.010.0585](#)).

Competitive effects in the supply of genomic testing services for cattle in Australia

- 4.4. The ACCC's preliminary view is that the Acquisition would have the effect, or likely effect, of substantially lessening competition in the supply of genomic testing services for cattle in Australia.
- 4.5. Based on the information currently available, the ACCC considers that the Acquisition would remove a direct and significant competitor to Zoetis in the supply of genomic testing services for cattle in Australia, thereby removing the competitive constraint that the Parties currently exert on each other. The ACCC's preliminary view is that there would otherwise be limited competitive constraint on the merged entity post-Acquisition.
- 4.6. As a result, post-Acquisition, the price of genomic testing services for cattle in Australia is likely to increase and/or the level of service quality provided is likely to decrease. Further detail regarding the nature of the competition concerns is discussed below.

Market shares and concentration

- 4.7. The ACCC's preliminary view is that the Acquisition would combine the two largest suppliers of genomic testing services for cattle in Australia. Based on the information currently available, together, the Parties supply the vast majority of those services in Australia, and the merged firm would be the largest supplier by a significant margin.

Closeness of competition between the Parties

- 4.8. The ACCC's preliminary view is that the Parties are currently each other's closest competitors in the supply of genomic testing services for cattle in Australia. Zoetis and Neogen Genomics overlap in respect of the customers they compete for and supply a similar offering. Information before the ACCC indicates that the Parties compete on price, service quality, and add-on tests, including tests to detect parentage and genetic defects.

Effectiveness of remaining competitors

- 4.9. The ACCC's preliminary view is that alternative suppliers would likely impose a limited competitive constraint on the merged entity. Based on the information currently available, there would be only a small number of alternative suppliers of genomic testing services for Australian cattle post-Acquisition, each of which would be far smaller than the merged entity.
- 4.10. The ACCC intends to investigate further the level of constraint other suppliers of genomic testing services would likely impose on the merged entity post-Acquisition. In particular, the ACCC intends to investigate how customers and breed associations may respond post-Acquisition to a small but significant non-transitory increase in price or decrease in quality of service by the merged entity, including whether breed associations would promote or sponsor expansion by alternative suppliers.

- 4.11. The ACCC also intends to investigate further the timing for the availability of Meat & Livestock Australia's planned new national multi-breed genetic evaluation livestock credentials platform and whether it could be a substitute for genomic testing of an animal of a particular breed.

Entry or expansion by rivals

- 4.12. The ACCC's preliminary view is there appears to be barriers to new entry and expansion in the supply of genomic testing for cattle in Australia. On the information currently available, the ACCC considers that the prospect of entry or expansion, including by international suppliers of genomic testing for cattle or suppliers of other services, may be limited and may not be sufficient to constrain the merged entity.

Barriers to entry and expansion

Relationships with major breed associations

- 4.13. The ACCC's preliminary view is that the arrangements and relationships that Zoetis and Neogen Genomics have with breed associations presents a material barrier to new entry and expansion.
- 4.14. Information before the ACCC indicates that breed associations have an important role as a distribution channel to farming businesses for the supply of genomic testing services for beef cattle. Appointment onto major beef cattle breed association panels as an approved service provider appears to be critical for rival genomic testing service providers to enter at material scale and expand beyond small scale.
- 4.15. While information currently before the ACCC indicates that breed associations have incentives to appoint competing providers and provide their members with competitive offerings, other information indicates that there may be difficulties for the breed associations in switching suppliers, and for new suppliers to form relationships with major breed associations.
- 4.16. The ACCC will continue to investigate:
- whether there are impediments to a breed association accrediting and appointing a new preferred supplier of genomic testing services for cattle in Australia; and
 - whether the arrangements and relationships that Zoetis and Neogen Genomics have with breed associations would impede other genomic testing service providers from forming relationships with the breed associations post-Acquisition.

Technical barriers

- 4.17. The ACCC is considering whether access to competitively priced SNP chips and receiving certification for SNP chips are a barrier to entry into the supply of cattle genomic testing in Australia.
- 4.18. In particular, the ACCC will continue to consider:
- the extent to which 'off-the-shelf' SNP chips are substitutable for, and otherwise competitive with, custom SNP chips, and whether the necessity of (or benefits

from) having a custom SNP chip offering presents a barrier to entry or expansion for the supply of genomic testing services for cattle in Australia; and

- the extent to which access to data in the control of genomic evaluation service providers affects the ability of genomic testing providers to access a SNP chip for use in genomic testing of cattle in Australia.

The need for a local operational presence

- 4.19. The need to have an operational presence in Australia, including an extensive field sales network to sell genomic testing and build customer relationships, may present a material barrier to entry and expansion. The ACCC's preliminary view is that the extent of the Parties' local presence is a key factor for farming businesses and breed associations when choosing a cattle genomic testing provider.
- 4.20. Building a comparable network of field staff and customer relationships to the Parties is likely to require significant time and investment, which would largely be sunk in the context of an unsuccessful attempt at entry or expansion. This may limit the ability and willingness of smaller suppliers to expand and new entrants to enter into Australia, particularly where entry and expansion depends on building relationships with farming businesses and breed associations.
- 4.21. Suppliers with an Australian laboratory may also have a competitive advantage through shorter turnaround times and better service. However, Zoetis has maintained a significant market position despite this advantage, suggesting that a domestic laboratory is unlikely to be a primary barrier to entry or expansion.
- 4.22. The ACCC's preliminary view is that established relationships with breed associations appear to constitute a material barrier to entry and expansion, while the operation of an Australian laboratory and access to an extensive field sales network might act as additional barriers to some extent. Information currently before the ACCC indicates that breed associations have historically not been quick to switch their preferred suppliers and that such decisions are largely driven by relationships.
- 4.23. The ACCC is continuing to consider:
- the extent to which access to an extensive field sales network constitutes a material barrier to entry and expansion, taking into account the availability of qualified sales representatives and the (sunk) costs involved in training staff; and
 - the extent to which the barriers to entry and expansion in dairy cattle are different to those for beef cattle. At present, there is no breed association panel for dairy cattle, meaning genomic testing suppliers must market themselves to dairy farming businesses directly. This may further increase the importance of a local presence. The ACCC's preliminary view is that the competitive significance of having a local presence may be an even more significant barrier to entry and expansion for current and potential suppliers of genomic testing for dairy cattle.

Customer stickiness

- 4.24. The ACCC's preliminary view is that the customers of genomic testing services (farming businesses) exhibit high levels of brand loyalty and do not switch frequently between providers. The ACCC considers that this may act as a barrier to entry or expansion, to the extent that it limits the size of the readily contestable market and

therefore the expected profitability that a firm could earn, at least in the short term, if it enters or expands into the relevant market.

- 4.25. The ACCC also understands, based on information currently before it, that an animal typically only requires one genomic test throughout its lifecycle. This may further contribute to low customer switching rates, if farming businesses purchase tests fairly irregularly and are therefore less inclined to explore alternative options.
- 4.26. The ACCC is continuing to assess whether competitors could realistically capture a portion of the market sufficiently large to make the expected returns from entry and/or expansion worthwhile. As part of this assessment, the ACCC will consider the expected growth in demand for genomic testing services, the extent of any incumbency advantage held by the Parties and historical rates of switching between suppliers.

Recent evidence of entry and expansion

- 4.27. Information currently before the ACCC suggests that, other than the Parties, genomics testing suppliers with an existing presence in Australia have had limited success in expanding to a material scale in cattle genomics testing to date.
- 4.28. The ACCC intends to investigate further the level of expansion by genomic testing suppliers after they have been added as approved providers by breed associations, and the factors that have contributed to those outcomes.
- 4.29. To date, the ACCC has not received any information that any other major overseas suppliers of genetic testing have recently entered or expanded in, or intend to enter or expand in, the Australian market.

Breed associations or farming businesses sponsoring new entry/expansion or self-supplying

- 4.30. The ACCC will investigate this issue further, but the ACCC's preliminary view is that cattle breed associations and farming businesses in Australia appear unlikely to be able to credibly threaten to bypass the merged firm by self-supplying genomic testing services or sponsoring a new supplier. Information currently before the ACCC suggests that appointment to a breed association panel does not guarantee a certain amount of sales, and the ACCC is not aware of any breed associations that are currently self-supplying, or planning to self-supply, genomic testing services. The ACCC has not received any information to suggest that farming businesses would have the ability to profitably sponsor new entry or self-supply genomic testing services if the merged entity attempted to increase prices (or, more generally, worsen its offering).

5. Next steps

- 5.1. Following the release of the NOCC, and consistent with section 51ABZL of the Act, the notifying party (Zoetis) has an opportunity to respond to the preliminary issues identified in the NOCC by 1 October 2026.
- 5.2. Under the current statutory timeframe, the ACCC must issue a determination in response to the Acquisition by 27 November 2026.